c) Cash advances

Around eighty percent of the total amount of accounts receivables is paid as advance cash to the client.

d) Collection service

Issuing reminders, receiving part payments, collection of cheques form part of the factoring service.

e) Advice to clients

From the past history of debtors, the factor is able to provide advices regarding the credit worthiness of customers, perception of customers about the products of the client, etc.

E. Types of factoring

a) Full service factoring or Without recourse factoring:

When a factor agrees to provide complete set of services which includes financing, maintenance of sales ledger, debt collection at his own risk, and providing consultancy services as and when necessary, it is called as full servicing factoring.

b) With recourse factoring

When the factor does not undertake credit risk, it is known as with recourse factoring. In case the debtor fails to make the payment on due date, it is assigned back to the firm by the factor. Here the responsibility of collecting the amount lies with the selling firm.

c) Maturity factoring

In this type, the factor agrees to finance the firm only after collecting the amount on maturity from debtors.

d) International factoring

When the claims of an exporter are assigned to a financial institution and the finance is advanced on the basis of export invoice it is called as international factoring.

The factoring process involving the client firm, factor and the customer is given below.

F. Factoring vs Forfaiting

Forfaiting is defined as "the non-recourse purchase by a bank or any other financial institution of receivables arising from an export of goods and services".

Examples of Factoring companies in India

Canbank Factors Limited:
http://www.canbankfactors.com

SBI Global: http://www.sbiglobal.in

IFCI Factors Limited: http://www.ifcifactors.com

Export Credit Guarantee Corporation of India Ltd: https://www.ecgc.in/Portal/productnservices/maturity/mfactoring.asp

Small Industries Development Bank of India (SIDBI):http://www.sidbi.com/?q=receivable-finance-scheme

G. Conclusion

Factoring helps smooth running of business by getting short term credits from financial institutions against accounts receivables. Forfaiting is a variation of factoring with focus on international exports.

Commerce 16-25.indd 157 2/17/2021 4:50:03 PM